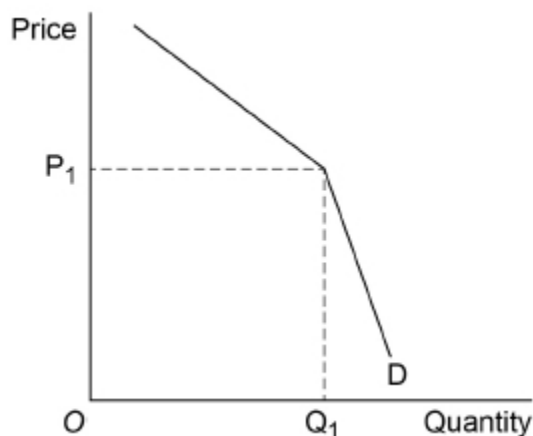


1.

The diagram below shows the kinked demand curve (D) for a firm operating in a competitive oligopolistic market.



The kinked demand curve model provides an explanation of why the

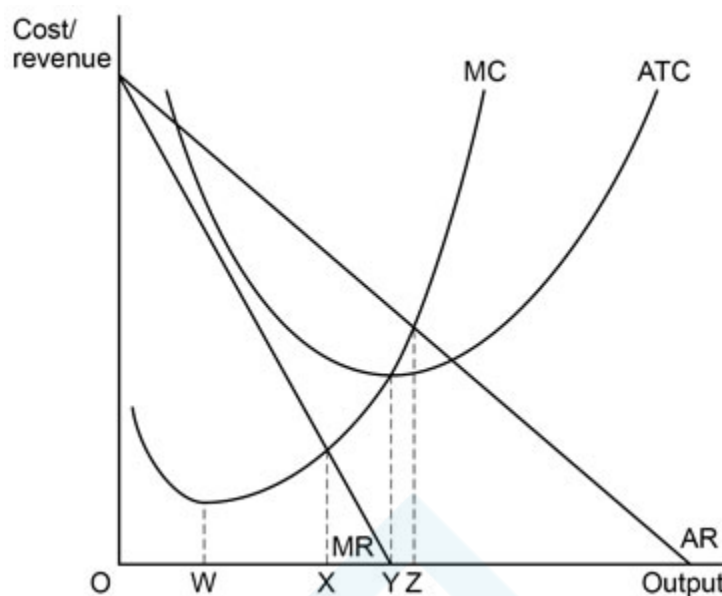
- A firm colludes with competitors to set the price of OP_1 .
- B firm's demand curve becomes more elastic as it lowers its price.
- C firm's price changes depend on competitors' pricing behaviour.
- D firm won't change its price from OP_1 even if competitors change their prices.

☐☐☐☐

[1 mark]

2.

The diagram below shows the cost and revenue curves for a monopoly.



At which one of the following levels of output would the firm be productively efficient?

- A OW
- B OX
- C OY
- D OZ

☐
☐
☐
☐

[1 mark]

3.

'The UK government would be happy with state control of British railways "as long as it's not the British state"' (**Extract C**, lines 19 – 21).

Evaluate, using the data and your knowledge of economics, the case for and against the UK government privatising public services while allowing foreign ownership of these services.

[25 marks]

4.

'A third runway at Heathrow is essential for the success of the economy of London and the UK.'

'A third runway at Heathrow would be an environmental disaster and cause huge market failure.'

Explain how an investment project, such as airport expansion, can be commercially successful and yet produce market failure.

[15 marks]

5.

Which one of the following provides a reason for government intervention in a market?

- A Firms in an oligopolistic market may limit price competition.
- B Market failures can only be corrected by using regulations.
- C Monopolistically competitive firms earn abnormal profits in the long run.
- D Public goods are excludable and rival.

☐
☐
☐
☐

[1 mark]

6.

Using a diagram, analyse how subsidised prices could affect firms in an industry, such as steel, which has a global market.

[9 marks]

7.

Roughly £18bn is forecast to be spent in the UK on advertising in 2017. Much of this will be spent by monopolistically competitive firms or oligopolies seeking to differentiate the products they sell to consumers.

Explain how price and output are determined for a firm in a monopolistically competitive market, in both the short run and the long run.

[15 marks]

8.

Extract C (line 2) states that 'Many competitors are using digital technology to drive innovation'.

Use the extracts and your knowledge of economics to assess whether the benefits outweigh the costs when the Government privatises organisations such as Royal Mail and opens up the market to competition.

[25 marks]

9.

Roughly £18bn is forecast to be spent in the UK on advertising in 2017. Much of this will be spent by monopolistically competitive firms or oligopolies seeking to differentiate the products they sell to consumers.

Evaluate the view that government regulation of monopolistically competitive markets is unnecessary, and that policies to encourage competition and prevent the abuse of monopoly power should focus entirely on oligopolies and monopolies.

[25 marks]

10.

Explain how the data in **Extract A (Figure 2)** show that the UK parcels delivery market is displaying dynamic efficiency.

[4 marks]

11.

Which one of the following is most likely to measure the degree of competition in an oligopolistic industry?

- A The price elasticity of supply in the industry
- B The profitability of the 10 largest firms in the industry
- C The three firm concentration ratio
- D The value of the Gini coefficient

☐☐☐☐

[1 mark]

12.

Using the data in **Extract A (Figure 1)**, calculate the three-firm concentration ratio in the UK parcels delivery market. Give your answer, as a percentage, to **one** decimal place.

[2 marks]

13.

Globalisation can make some product markets more contestable.

Which one of the following characteristics of globalisation is the most likely explanation for such an increase in contestability?

- A A reduction in protectionism
- B Greater synchronisation of economic cycles between countries
- C Higher levels of labour migration
- D The growth of employment in emerging market economies

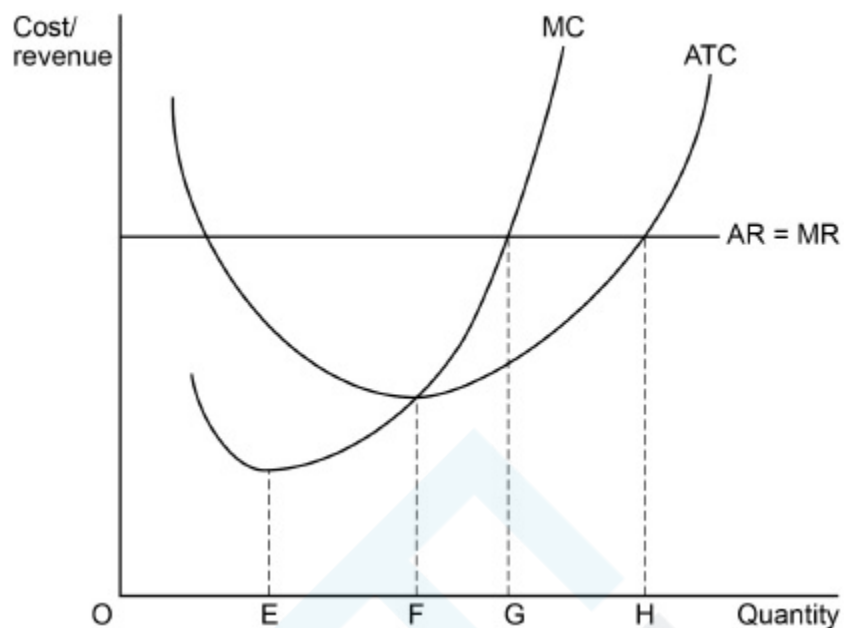
☐☐☐☐

[1 mark]

14.

The diagram below shows a firm operating in perfect competition in the short run.

Which quantity, **OE**, **OF**, **OG** or **OH**, indicates the output where profits are maximised?



A OE

☐

B OF

☐

C OG

☐

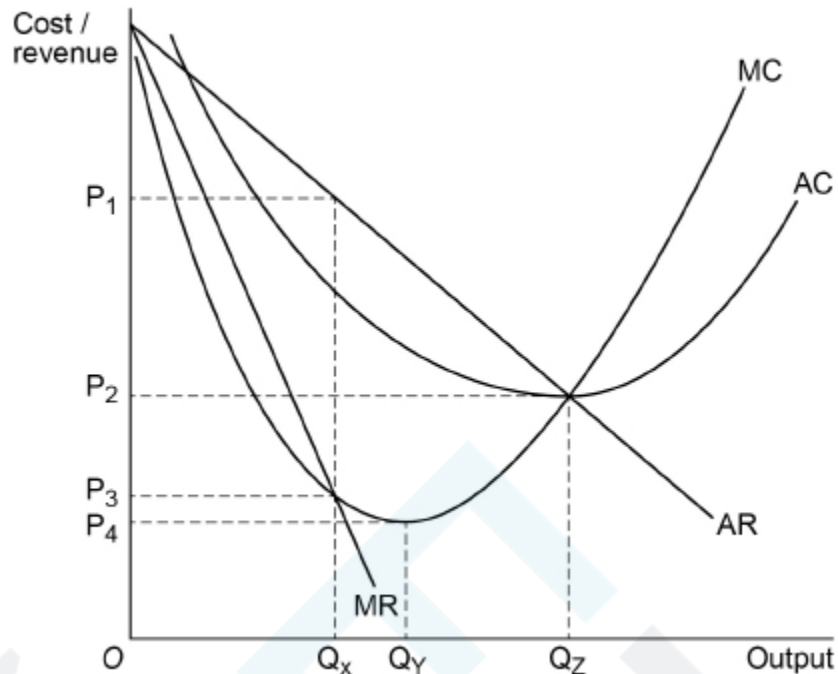
D OH

☐

[1 mark]

15.

The diagram below shows the average revenue and marginal revenue (AR and MR) curves, and the average cost and marginal cost (AC and MC) curves, for the only firm in an industry.



If the market is highly contestable, in the long run, the firm is most likely to set its price at

- A $0P_1$
- B $0P_2$
- C $0P_3$
- D $0P_4$

☐
☐
☐
☐

[1 mark]

16.

In the United States, corporate profits since 2010 have averaged 9% of GDP, compared to 5% in the 1990s. This is causing concern that the US economy is increasingly dominated by companies with monopoly power.

Evaluate the view that a firm making low profits must be inefficiently managed.

[25 marks]

17.

Extract E (lines 14–16) states that ‘The market economy is not going to create the jobs by itself for those workers who are most affected by the change.’

Extract F (lines 4–5) states that ‘taxing productivity-enhancing tools like robots or machines makes no economic sense.’

Use the extracts and your own knowledge of economics to evaluate whether governments should allow markets to respond freely to the opportunities and challenges presented by technological progress, without any state intervention.

[25 marks]

18. In the United States, corporate profits since 2010 have averaged 9% of GDP, compared to 5% in the 1990s. This is causing concern that the US economy is increasingly dominated by companies with monopoly power.

Explain the role of profit in a market economy.

[15 marks]

19. **Extract B** (lines 4-6) states that 'banks do not feel enough pressure to compete on price or quality, leading some to call for the Big Four to be split into a number of smaller banks.'

Use the extracts and your knowledge of economics to assess the view that the government should intervene further in the banking sector to promote greater competition.

[25 marks]

20. Explain how the data in **Extract D** show that workers employed in routine, repetitive work are at greater risk from automation.

[4 marks]

21. Explain how the data in **Extract A** show that the market power of the Big Four banks is weakening against competition from smaller rivals.

[4 marks]

22. **Extract C** (lines 10–11) states that 'There is ample opportunity for new players to enter the sector.'

With the help of a diagram, explain how the lowering of barriers to entry in the banking market might lead to lower prices and a situation in which banks make normal profit.

[9 marks]

23. Using **Extract A**, calculate the ratio of customers gained to customers lost by Nationwide. Give your answer correct to **one** decimal place.

[2 marks]

24. A monopolistically competitive firm's demand curve is

A also the market demand curve. ☐

B inelastic throughout its length. ☐

C the firm's average revenue curve. ☐

D the same as its marginal revenue curve. ☐

[1 mark]

25. Several loss-making retailers including Homebase, House of Fraser and Poundworld have had to decide whether to shut down operations or carry on while making losses. In contrast, the music-streaming firm Spotify was valued at \$27 billion in 2018, despite never having made a profit in any year since it was founded. Spotify has been more focused on expanding market share.

Discuss the validity of the traditional economic assumption that the main objective of firms is to maximise profits.

[25 marks]